



Understanding the Renters' Rights Act: What the New Tenancy Rules Mean for Landlords

How the Act affects you

The Renters' Rights Act became law in October 2025 and is being introduced in stages. The first major changes affecting tenancies are expected to take effect from May 2026.

The legislation will apply to most residential tenancies in England. Assured Shorthold Tenancies (ASTs) will effectively be replaced by Assured Periodic Tenancies. The changes will apply to both new and existing tenancies once the legislation is fully implemented. Company lets and tenancies with annual rents exceeding £100,000 are excluded.

As my client, you can be confident that you are in experienced hands. I will guide you through what these changes mean in practical terms and help you navigate the new rules with as little disruption as possible.

What the Bill Means for You (Phase 1)

1. Fixed Terms Will End (from May 2026)

Under the new rules, fixed-term Assured Shorthold Tenancies will end. All tenancies will instead become Assured Periodic Tenancies, meaning they will roll from month to month with no fixed end date.

During the first 12 months of a tenancy, landlords will not be able to seek possession using the 'sell' or 'move-in' grounds. This creates a protected 12-month period for tenants, provided they comply with the tenancy terms.

In practice, this is unlikely to dramatically change the way many tenancies operate. Industry data shows that tenants often remain in a property for around two years or more, and it is more common for tenants to give notice rather than landlords.

Notice Periods

- Tenants must give two months' notice to leave the property.
- Landlords must serve a Section 8 notice relying on one of the legal possession grounds.
- Pre-agreed break clauses and renewal clauses will no longer apply.

For existing tenancies, any previously agreed break clause or option to renew will cease to apply once the new system takes effect.

Section 21 Notices

Section 21 'no fault' notices will be abolished. Landlords will instead rely on the updated Section 8 possession grounds.

Common grounds expected to be used include:

- Ground 1 – Landlord or family member intends to live in the property
- Ground 1A – Landlord intends to sell the property
- Grounds 8, 10 and 11 – Rent arrears
- Ground 12 – Breach of tenancy agreement
- Ground 14 – Anti-social behaviour

Each ground has its own notice requirements and evidential standards.

This makes careful tenant selection even more important. Understanding a tenant's expected length of stay and circumstances will help ensure the tenancy suits both parties.

Selling or Moving Back Into Your Property

If you plan to sell your property or move back in, you must use a Section 8 notice relying on:

- Ground 1 – landlord or family occupation
- Ground 1A – intention to sell the property

These grounds require at least four months' notice and cannot be used within the first 12 months of a tenancy.

If challenged, landlords must be able to demonstrate that the property was genuinely sold or that the landlord or family member moved into the property.

Once a Ground 1 or 1A notice has been served, the property cannot be re-let for 12 months following the expiry of the notice.

2. Rent Increases (from May 2026)

Pre-agreed future rent increases will no longer be permitted within tenancy agreements.

Instead, landlords may propose one rent increase per year using a Section 13 notice.

Key rules include:

- A minimum of two months' notice must be given
- The proposed rent must reflect the current market level
- If the tenant accepts the proposal, the new rent applies from the next rent payment date

Tenants have the right to challenge a rent increase at the First-tier Tribunal if they believe the increase exceeds market levels. In many cases it will be possible to reach agreement before this stage.

3. Advance Payments (from May 2026)

Under the new rules landlords will only be able to request a maximum of one month's rent in advance at the start of a tenancy.

Existing tenancies where rent is paid quarterly, six-monthly or annually may continue under their current payment structure until that tenancy ends.

Where affordability is a concern, tenants may still provide a private guarantor.

Insurance-backed guarantor services are also emerging as an option for tenants who cannot provide one personally.

4. Tenants and Pets (from May 2026)

Blanket 'no pets' clauses will no longer be enforceable.

Tenants will be able to request permission for a pet and landlords must consider requests reasonably. Landlords must respond within 28 days.

Requests may still be refused in certain circumstances, for example:

- Restrictions in a superior lease
- Evidence of severe allergies in the property
- Property type being unsuitable

Landlords may require tenants to obtain pet insurance to cover potential damage caused by animals.

5. Rental Bidding (from May 2026)

A new rule will prevent landlords or agents from inviting or accepting offers above the advertised rent.

This change is intended to prevent bidding wars and create greater transparency and fairness in the rental market. The rent advertised will effectively be the maximum rent that can be accepted.

Additional Key Changes

Reducing discrimination

Landlords will no longer be able to refuse tenants solely because they receive benefits or have children. However, the property must still be suitable for the household size.

Any mortgage or lease restrictions preventing this will become unenforceable.

Written tenancy information

Landlords will be required to provide tenants with a written statement of key tenancy terms using a standard format provided by the government.

This list is not exhaustive and you need to read the [government guidance](#) for a full list of changes.

Future Phased Changes (Late 2026)

Several additional measures will be introduced later in the rollout of the Act.

Landlord Ombudsman

All landlords will be required to join a new Private Rented Sector Landlord Ombudsman scheme. This will provide a fair and independent route for resolving disputes without needing to go to court.

Private Rented Sector Database

A national database will be introduced requiring landlords to register themselves and their properties before marketing them for rent.

This will help tenants, councils and government access key information and support enforcement where needed.

Decent Homes Standard

The Decent Homes Standard will be extended to the private rented sector to ensure rented homes are safe and free from serious hazards.

Awaab's Law

New legislation will require landlords to investigate and fix serious hazards such as damp and mould within specific timeframes.

Energy Performance Certificates

The government intends to raise the minimum EPC requirement for rental properties from band E to band C by 2030, although the final implementation details are still being confirmed.

Enforcement and Penalties

Local authorities will receive stronger enforcement powers under the Act.

Minor or initial non-compliance may lead to civil penalties of up to £7,000.

Serious or repeat breaches could result in civil penalties of up to £40,000 and may lead to criminal prosecution.

This summary reflects the current understanding of the Renters' Rights Act and the government's implementation timetable. As further guidance becomes available, I will continue to update clients and provide practical advice to ensure full compliance.

Warm regards,

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